

Future Finance

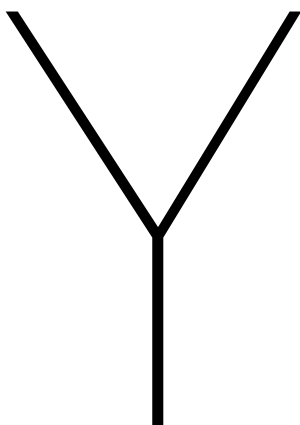
Some potentially transformative innovations are being implemented in the financial sector with the extensive use of technology. These changes can increase the reach of financial products and power the country's journey

BY ANAND ADHIKARI

AA can empower customers to plan personal finances by providing a comprehensive view of their financial situation and analysing spending behaviour

AA can play a big role in increasing financial inclusion by providing easy and reliable access to financial institutions and help serve underserved individuals and MSMEs

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YOU MAY HAVE heard of mortgages or loans against gold, but what do you think of getting a pre-approved loan against mutual fund units straight from your app? Now picture this: insurance companies accessing your data—with your consent, of course—from pathology labs and hospitals for insurance purposes, all without any paperwork!

This has all been brought into the realm of possibility through the Reserve Bank of India's (RBI) Account Aggregator (AA) model. Think of these as arteries that allow for the smooth flow of encrypted personal information through to financial entities throughout the country.

But India's financial sector isn't willing to take it easy just yet. There's another innovation that promises to be a game changer: the extension of credit through the ubiquitous Unified Payments Interface (UPI), which could serve the unbanked and underbanked. In metro areas, this could replace costly credit cards and point of sale (PoS) infrastructure.

These and other innovations that are backed by RBI are bringing about the latest transformation in India's dynamic financial services industry. In the next decade or two, the financial landscape, the lifeblood of an economy,